

Cost Estimate Comparison

Study #47

Client:Carolyn Carpenter

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Camel Filter 83 CPB and Red Kamel 83 CPB

(UPCHARGE)

Preliminary Cost per thousand estimate

	1997 2000918 AW Camel F83CPB Control #1	1997 2000918 AX Camel F83CPB Impr 7/28/97 #2	1997 VARIANCE 2000918 #1 VS #2	1997 2001231 AD Red Kamel 83 CPB Control #1	1997 2001231 AE Red Kamel 83 CPB Impr 7/28/97 #2	1997 VARIANCE 2001231 #1 VS #2
Leaf	\$ 3.5659	\$ 3.9732	\$ (0.4073)	\$ 3.9423	\$ 3.9732	\$ (0.0309)
Casing	\$ 0.0442	\$ 0.0762	\$ (0.0320)	\$ 0.0776	\$ 0.0762	\$ 0.0014
Cigarette Paper	\$ 0.0950	\$ 0.0950	\$ -	\$ 0.1033	\$ 0.0950	\$ 0.0083
Plug Wrap	\$ 0.0372	\$ 0.0372	\$ -	\$ 0.0372	\$ 0.0372	\$ -
Cigarette Tipping	\$ 0.1234	\$ 0.1226	\$ 0.0008	\$ 0.1214	\$ 0.1226	\$ (0.0012)
Filter Tow	\$ 0.4022	\$ 0.4112	\$ (0.0089)	\$ 0.4127	\$ 0.4112	\$ 0.0015
Plasticizer	\$ 0.0220	\$ 0.0220	\$ -	\$ 0.0220	\$ 0.0220	\$ -
CS - Purchased Filter	N/A	N/A	N/A	N/A	N/A	N/A
	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Subtotal Materials	\$ 4.2898	\$ 4.7373	\$ (0.4475)	\$ 4.7165	\$ 4.7373	\$ (0.0208)
Variable Labor & Fringe	\$ 0.2258	\$ 0.2334	\$ (0.0076)	\$ 0.1956	\$ 0.2334	\$ (0.0378)
GOE (fully absorbed)	\$ 0.6164	\$ 0.6090	\$ 0.0074	\$ 0.5362	\$ 0.6090	\$ (0.0728)
Total Cigarette Cost/M	\$ 5.1320	\$ 5.5797	\$ (0.4477)	\$ 5.4483	\$ 5.5797	\$ (0.1314)

Materials:**Variable labor & Fringe:**

Labor and Fringe for prototype only reflects cost through Primary and Tobacco Processing.

GOE:

GOE for prototype only reflects cost through Primary and Tobacco Processing.

NOTE: Caution should be exercised in recognizing the impact associated with Labor and OH as any estimated savings/costs will only be realized to the extent that the planned product change has a real impact on how the Company does business. (ie., Capital/labor additions/reductions.)

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Advise of any questions.

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